

investment only, but also direct investment. In order to get all the investors and companies coming to India, you've got to open up or free the markets.

Q: What would you say are the two to three key changes that India needs to do to fully capitalise on the China+1 strategy?

A: Number one is foreign exchange control. India needs to remove foreign exchange controls. Number two, for new enterprises, you have got to allow free flow of materials and equipment. No tax or import duty to allow new industries to be created in special economic zones. And this has been done before, this is no rocket science. Also, free allowance for people to come in, especially for technical people to take up residence in India. That is also very important.

Q: You have said that the benchmark BSE Sensex could reach 100,000 in the next five years. How do you see that journey panning out?

A: It is going to be a bumpy ride. There will be panic, there will be ups and downs. People [have] got to realise that there will be corrections along the way. It could be 10 per cent or 12 per cent or anything.

Q: What are the key risks currently for the Indian markets?

A: I think the one key risk would be a big political change, but that's not really a very salient risk, I would say. The BJP has been very good for the markets... the probability of the BJP not coming back to power is very low.

Q: You have said that you look at parameters like return on capital employed and debt-equity ratio while identifying companies to invest in. Since you look at many emerging markets, do you think India vis-à-vis other markets offers a lot of attractive investment options?

A: Definitely, and that is the reason why we are so big on India. We find many companies with those characteristics [here]. Of course, we find more in Taiwan with those characteristics, but India would be next in line.

Q: What is your view on the small- and mid-cap space? The recent past has seen domestic investors, both institutional and retail, increasing their exposure to this segment quite aggressively.

A: We love small- and mid-cap stocks because they are not heavily researched. So, we can have a little bit of an



“When I talk to an Indian company, I find them very aware of ESG and also sustainability. India has done a pretty good job because the thing with India is that there is a lot of transparency”

edge and learn more about what they are doing. The index stocks are very well researched, so we don't like to go after those. Now, of course, there is a lot of garbage as well in the mid- and small-cap space and you don't want to go near those. But among all that, there is a lot of good stuff you want to concentrate on.

Q: Talking about good stuff, how have you seen the level of acceptance or compliance with ESG benchmarks evolve amongst Indian companies over the years?